

Kingdom of Saudi Arabia · Arabian Gulf Coast

Real Estate Market Report Eastern Province

Strategic analysis and market dynamics for 2026

An institutional reading of every sector in the Eastern Province — offices to hospitality — with regulation, transaction data and opportunity maps.

Offices

Residential

Retail

Industry

Hotels

Regulation

Deals

Maps

Nine chapters covering the Eastern Province real estate market

From macro indicators to executable opportunities, in the order an investor reads the market.

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How this report was built and what sets it apart

Data sources

The Real Estate Registry and Ministry of Justice (transactions), GASTAT, the Real Estate General Authority (REGA), the Eastern Province Municipality, the Royal Commission for Jubail and Yanbu, MODON, the Ministry of Tourism, NHC and developer announcements, with JLL, Knight Frank and CBRE reports as benchmarks.

Analytical method

2026 values are estimated from transaction data and field surveys to mid-year, compared year on year for each indicator, then each sector is linked to its drivers (Aramco, SPARK and the ports, regional HQs, Dhahran Expo, World Cup 2034) to derive executable recommendations for developers and investors.

What sets a Takamol report apart

Analysis at metro, corridor and district level rather than region only; real geographic maps of Dammam, Khobar, Dhahran, Qatif, Jubail and Al-Ahsa districts; and figures linked to automated feasibility studies in Real Invest and curated opportunities in Real Forsa — a decision tool, not just a market read.

Scope: the Eastern Province and its governorates, focused on the Dammam Metropolitan Area (Dammam, Khobar, Dhahran), Qatif, Jubail, Al-Ahsa and Hafar Al-Batin · Reference period: January – August 2026.

Units and comparison: values in Saudi riyals (SAR) unless stated otherwise · annual rates against the same period of 2025 (YoY) · estimates are flagged with "around" or "circa".

01

Executive Summary & Key Performance Indicators

Demographics and purchasing power · Regional HQ programme and capital flows · Mega-project map · Global events · Business confidence and construction costs · Return-versus-risk matrix



Macro indicators: the Kingdom's centre of gravity for industry, energy and logistics

5.13M

residents — Eastern Province population

34

global companies licensed under the Regional HQ programme

78.6%

Grade A office occupancy in the Dammam Metropolitan Area

1.7%

annual inflation — a stable price environment

Industrial and logistics centre of gravity

The Eastern Province is one of the Kingdom's foremost hubs for industry, energy and logistics, drawing on an integrated industrial and port ecosystem spanning Dammam, Jubail, Ras Al-Khair and King Salman Energy Park (SPARK), plus King Abdulaziz Port, Jubail Commercial Port and the industrial ports.

Road and rail networks and direct links with the GCC underpin its role as a trade, export and supply-chain hub; in 2024 King Abdulaziz Port handled around 3.23 million containers and Jubail Commercial Port around 480k.

Supply–demand gap

Demand is strong for modern warehouses, logistics centres and high-specification industrial facilities, driven by expansion in energy, industry, mining, trade and supply chains.

High-quality supply remains scarce: industrial and logistics occupancy in the Dammam Metropolitan Area exceeded 90% in Q2 2026 with rising rents and a shortage of Grade A space — supporting new warehouse and distribution-centre development near the ports, industrial cities, the Dammam–Jubail corridor, Ras Al-Khair and SPARK.

Implication: a market that rewards specification and location — Grade A warehouses near the ports and SPARK lease first and at a clear premium.

Demographics, purchasing power and income patterns

15,000

SAR — average monthly household income

5.0%

annual population growth — highest among the major regions

5.13M

residents — a young and growing population base

42%

Eastern Province share of the Kingdom's FDI stock

Target segments and their property behaviour

Young Saudi families: dual incomes and a modern lifestyle; prefer new apartments and integrated communities in Khobar, Dhahran and Dammam suburbs near schools and retail.

Expatriate professionals: energy, petrochemical and industrial engineers (Aramco, SABIC, Jubail, SPARK); demand for gated compounds and serviced apartments near workplaces.

Individual investors: surplus capital seeking recurring income; buying residential and commercial units to let on active corridors in Khobar, Dammam and Al-Ahsa.

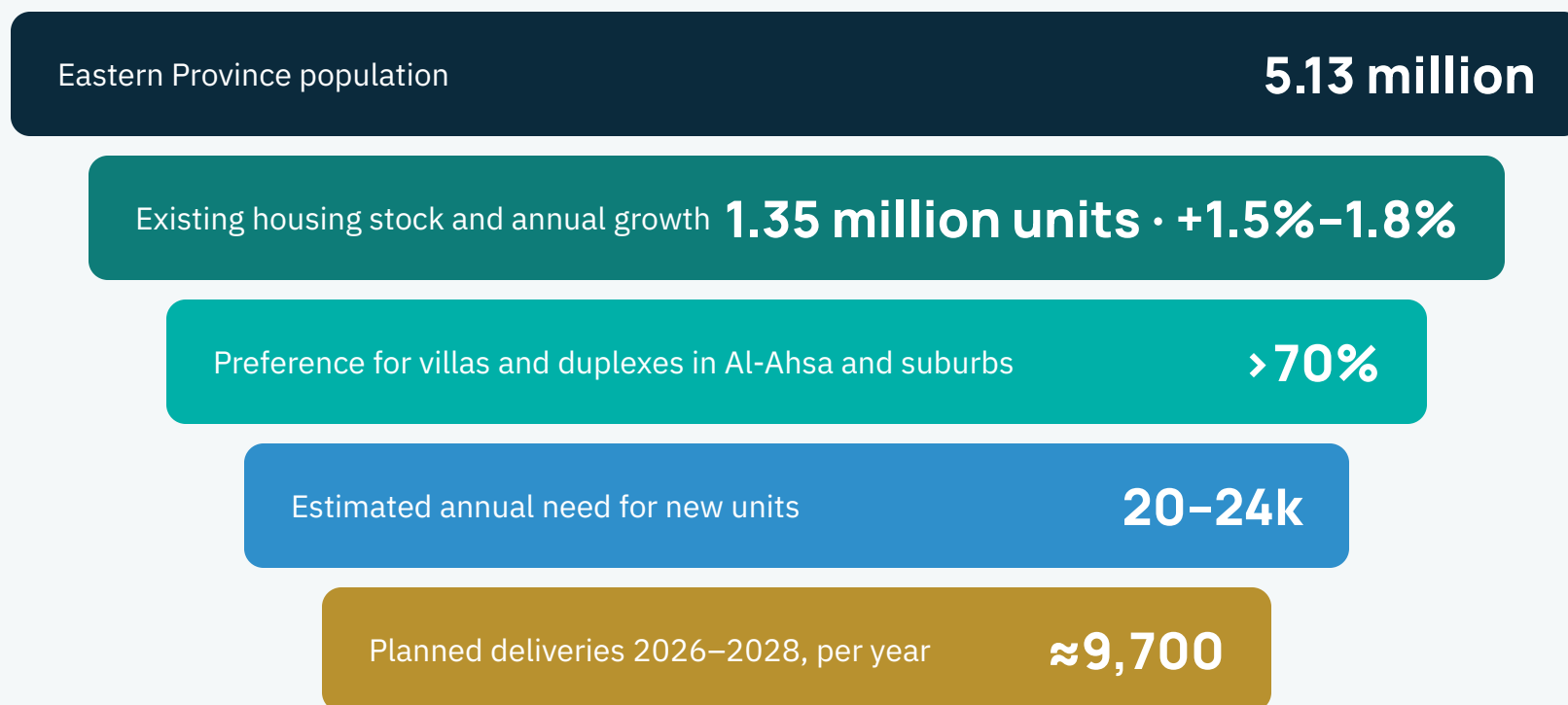
Takamol reading

A population of around 5.13 million with household income near SAR 15k a month, plus a high-income professional expatriate base, makes the Eastern Province the Kingdom's most diverse residential market: from luxury seafront apartments in Khobar to affordable townhouses in Dammam and Al-Ahsa suburbs.

Corporate demand from energy companies for staff housing (Build-to-Rent and serviced compounds) is a stable layer of demand with no equivalent depth in any other region.

Product window: serviced 2–3 bedroom apartments near Dhahran and Khobar for professionals, and 240–300 sqm townhouses for families in the suburbs — the core of Eastern Province demand.

Demand funnel: from population base to the housing unit required



Reading the funnel

A large, growing population converts into structural demand for modern apartments in Khobar and Dhahran and for townhouses and duplexes in Dammam and Al-Ahsa suburbs, reinforced by corporate demand from energy companies for staff housing.

Planned supply for 2026–2028 is around 29,000 units (circa 9,700 a year), covering roughly 40%–50% of the estimated annual need derived from stock growth — which explains firm prices (+0.8% apartments, +1.4% villas) despite fewer transactions.

Estimated annual gap: 10–14k units

Source: GASTAT, Real Estate Registry, developer announcements (NHC and private sector), Takamol analysis. Annual need is a Takamol estimate.

Regional Headquarters (RHQ) programme and capital flows

366bn

SAR — FDI stock (42% of the Kingdom)

5,456

active foreign investment licences as of early 2025

+53k

jobs created by foreign investment in the region

+8.1M sqm

logistics space — the largest in the Kingdom

International investment appeal

The Eastern Province has a strong, growing base of international investment: FDI stock of around SAR 366bn, circa 42% of the Kingdom's total, with 5,456 active foreign investment licences as of early 2025.

These investments created over 53k jobs, while 34 global companies chose the region for their regional headquarters — confirming its standing as a leading investment destination and feeding directly into Grade A office and serviced-housing demand.

Industrial and logistics investment strength

The Eastern Province is the heart of the Kingdom's energy and industrial system, with major clusters in Dammam, Jubail and Ras Al-Khair alongside King Salman Energy Park (SPARK), the ports and advanced logistics infrastructure.

Residential rents keep growing (+3.2% apartments, +2.1% villas), and residential transactions in the Dammam Metropolitan Area rose 10% to around 5,700 deals in H1 2025 with value up 13% — signs of growing, non-speculative liquidity.

New investment: the Eastern Province Municipality recorded more than SAR 7bn of foreign investment across varied sectors, reflecting a widening investment base beyond traditional oil.

Mega-project map – Eastern Province 2026

1 Jubail Industrial City & Commercial Port
Jubail · largest petrochemical cluster in the region · 480k containers in 2024 · demand for warehouses and staff housing

2 King Salman Energy Park (SPARK)
Between Dammam and Al-Ahsa · special economic zone with 100% ownership · energy industries and support services

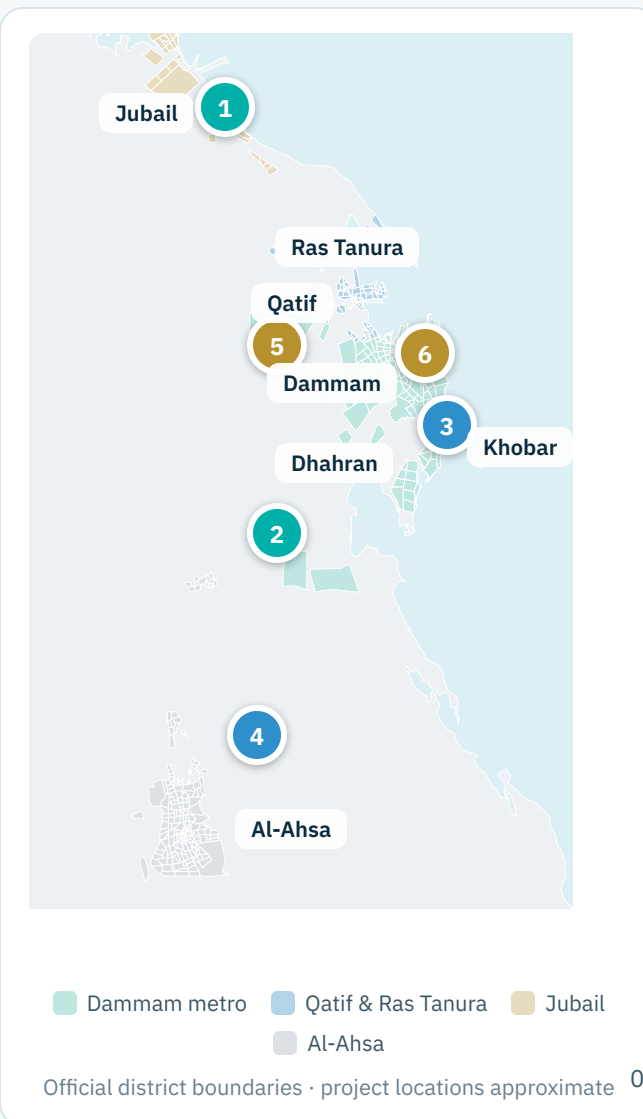
3 Khobar waterfront development
Khobar Corniche · Ajdan Walk, The Avenues and marinas · highest residential prices in the region (up to SAR 12,000/sqm)

4 Jafurah unconventional gas field
South-east of Al-Ahsa · largest non-associated gas field in the Kingdom · long-term demand for staff housing and services

5 King Fahd International Airport
North-west of Dammam · target of 19.3 million passengers by 2030 · air cargo of +600k tonnes a year

6 King Abdulaziz Port, Dammam
Dammam · 3.23 million containers in 2024 · maritime gateway for central and eastern Saudi · core of Grade A logistics demand

Investment implication: the weight sits in energy, industry and logistics (King Abdulaziz Port, industrial cities, SPARK, Ras Al-Khair); the province holds 42% of KSA FDI stock (SAR 366bn). Demand follows: industrial north and west, luxury residential and hospitality on the Khobar waterfront.



Global events as investment levers

Vision 2030 targets, transport and tourism

King Fahd International Airport: target of 19.3 million passengers a year by 2030, Al-Ahsa Airport expansion to around one million passengers a year, and air cargo above 600k tonnes a year.

Hospitality: Greater Dammam has around 12,438 hotel rooms; DMA occupancy was circa 55.8% in November 2025 · in H1 2025 the region added around 1,646 hotel rooms and 1,991 keys in apartments and other categories.

Public transport: +400 km of bus routes · 212 stops linking Dammam–Khobar–Dhahran–Qatif · 7.5 million passengers in 2025, expanding to 276 stops.

World Cup 2034 — Khobar among the host cities

Aramco Stadium — Khobar

around 47k spectators · one of the listed stadiums to host matches up to the round of 16

AFC Asian Cup 2027

training and hosting alongside the Asian tournament — an early test of the hospitality and transport system

Hospitality and serviced apartments

rising demand for hotels, serviced apartments, F&B, retail and entertainment across the Dammam Metropolitan Area and neighbouring cities

Coastal destinations

+700 km of coastline · waterfronts in Dammam, Khobar, Qatif, Khafji and Uqair, including the new Khafji coast (20 sq km, 10 km frontage)

19.3M

passengers — King Fahd International Airport capacity target by 2030

+400 km

of bus routes · 212 stops · 7.5 million passengers in 2025

+700 km

of Arabian Gulf coastline — destinations and waterfronts under development

29,982

licensed hospitality keys: 16,234 hotel + 13,748 apartments and other (+3,637 in H1 2025)

Eastern Province roadmap 2026–2034: the milestones that reprice the market

Each delivery adds quality supply or opens a new wave of demand — its timing sets the investor's entry window.

2026

129,640 sqm of new offices · Othaim Park Dammam (150k sqm) opens in Q4 · Dhahran Expo and energy exhibitions

2028

2026–2028 delivery wave completes: around 29,000 homes · SDC Khobar opens (110k sqm) · +174k sqm retail

2030

Vision 2030 targets: 19.3 million passengers at King Fahd Airport · 600k tonnes air cargo · 276 transit stops

2027

The Avenues Khobar opens (168k sqm GLA + Canopy hotel) in H2 · AFC Asian Cup 2027 · Al-Ahsa Airport expansion

2028–2030

Residential planning phase: +28,000 units · SPARK and Jafurah expansion · Al-Rasha, Al-Fursan and Diyar Al-Hasa suburbs

2034

World Cup: Aramco Stadium in Khobar (47k spectators) · peak demand for hospitality, serviced apartments and leisure retail

Business confidence, construction costs and building permits

+7bn

SAR — foreign investment recorded by the Eastern Province Municipality across varied sectors

+2.3%

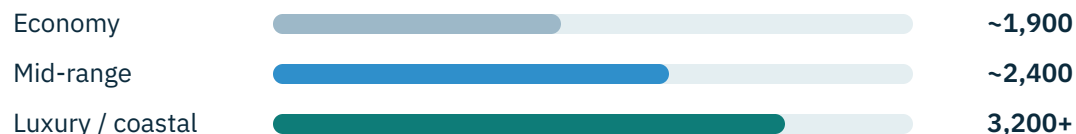
annual rise in the Kingdom's construction cost index, July 2026

2,626

producing factories · 25.3% of the Kingdom's factories · +89% occupancy

Average construction and finishing cost

1,900–3,200

 SAR / sqm

A relatively stable development environment: the province has a broad industrial base for producing and supplying building materials (ready-mix and precast concrete, non-metallic materials, building products and metal industries), supported by the industrial cities in Dammam, Al-Ahsa and Hafar Al-Batin — reducing supply risk and sharpening feasibility estimates. Cost ranges are Takamol estimates.

Modern Methods of Construction (MMC) change project economics

30–35%

shorter build time with precast and modular units

18 → 8–10

months — residential build time with modular construction

-30%

air-conditioning consumption with thermal insulation and salt- and humidity-resistant materials

22–28%

target gross developer margin (Takamol estimate)

The Eastern Province offers a suitable industrial base for scaling precast and modern construction methods (MMC), with specialised precast, ready-mix and prefabricated structural-system plants in the Dammam industrial cities and around Dhahran — accelerating delivery, raising factory quality and reducing on-site work.

Occupancy gauges: a market running at high capacity in industry and retail

**+90%**Industrial & logistics
(DMA)**+89%**

Industrial cities

**94%**

Major retail destinations

**~91%**

Prime offices (CBRE)

**78.6%**

Grade A offices (JLL)

**58.4%**

Hotels (annual)

What do the gauges mean?

An industrial and logistics market near full capacity (+90% in the Dammam Metropolitan Area, +89% in the industrial cities) and retail at 94% — the highest among the Kingdom's major markets. Office readings diverge: 78.6% for Grade A per JLL versus around 91% for prime assets per CBRE — a clear gap within Grade A itself between new and older buildings.

Where is the opportunity?

The gap between annual hotel occupancy (58.4%) and holiday and event peaks in Khobar and Dammam (82–90%) rewards flexible Dual-Key assets that switch between hotel and serviced living; the gap between Grade A and conventional warehouses rewards modern warehouse development near King Abdulaziz Port, SPARK and Jubail.

Return versus risk: where each sector stands in the Eastern Province 2026

Warehouses and logistics facilities **8.5–9.5%**

Grade A offices (Khobar and Dhahran) **7.5–8.5%**

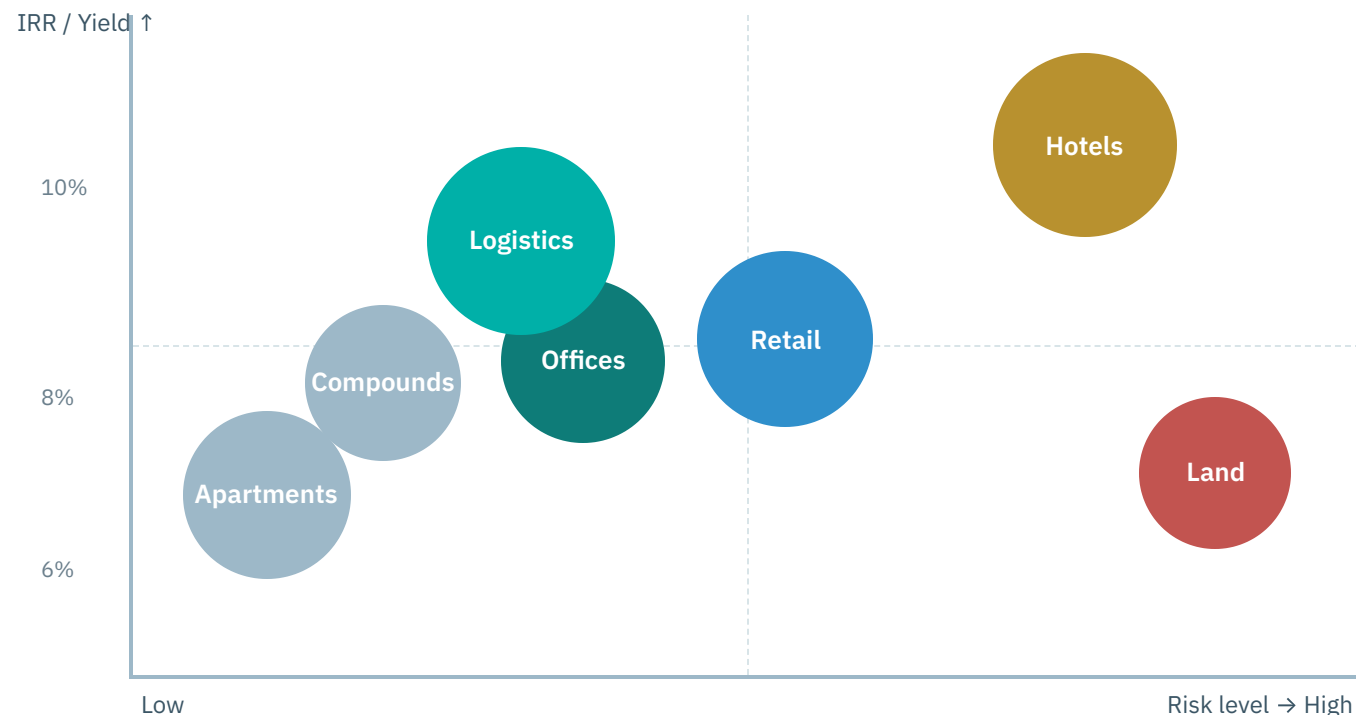
Shopping centres and open destinations **7.5–8.5%**

Serviced residential compounds **7.0–8.0%**

Modern apartments (Khobar and Dhahran) **6.5–7.5%**

Hotels (expected IRR) **12–18.5%**

Raw land **Capital / long cycle**



Bubble size reflects market depth (transactions and supply) · positioning is indicative, from this report's indicators · logistics combines the highest net yield (8.5%–9.5%) with the highest occupancy (+90%) in the Eastern Province.

02

Office & Administrative Space

Stock and occupancy · Supply and demand dynamics · Price map by corridor · Corporate demand segments · Transport connectivity · Opportunities and outlook



Operating dashboard and office market: Flight to Quality in the Dammam metro

+2.0M sqm

GLA — leasable office space in the Dammam Metropolitan Area (2.04 million)

78.6%

Grade A occupancy in Q1 2026 (21.4% vacancy)

+9.2%

annual Grade A rent growth to around SAR 994/sqm

8.5%

indicative yield for prime office assets

Occupancy by grade

Market dynamics: the Eastern Province office market is more measured than Riyadh, with tenants still cautious in Q2 2026; new assets in strategic locations keep outperforming, while older buildings face mounting competitive pressure.

Prime offices (CBRE)		~91%
Grade A (JLL)		78.6%
Grade B		82.7%

Takamol reading

Around 28,400 sqm was delivered in Q1 2026 with a further 129,640 sqm expected over the rest of the year — a supply wave that will test Grade B in particular (82.7% occupancy, 17.3% vacancy).

Grade A rents of around SAR 994/sqm/year (+9.2%) against SAR 840 for Grade B (+8.7%): a gap of only 18% makes moving up an easy tenant decision — the essence of Flight to Quality in the province.

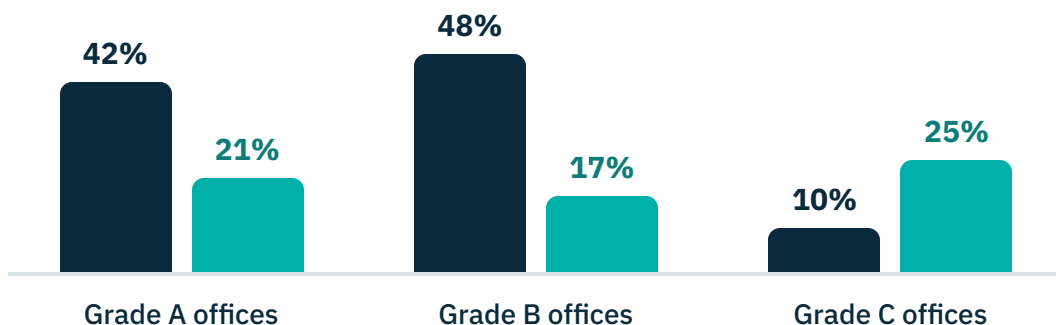
Entry window: before the 129,640 sqm lands, new buildings on the Khobar waterfront and in Dhahran hold a pricing lead (SAR 995–1,035/sqm).

Supply and demand dynamics and the future pipeline

Share of current supply versus vacancy rate

■ Share of supply

■ Vacancy rate



Takamol estimates of supply distribution from the 2026 market survey · vacancy: JLL for Grades A and B, Takamol estimate for Grade C.

28,400 sqm

office space delivered in Q1 2026

129,640 sqm

supply expected during 2026 (JLL)

994

SAR/sqm/year — average Grade A rent

840

SAR/sqm/year — average Grade B rent
(+8.7%)

Outlook 2026–2028

2026: new supply concentrates in the Dammam Metropolitan Area (DMA), with stock growth and competition among new schemes. 2027–2028: development continues at a far smaller scale than Riyadh, focused on Khobar, Dammam and Dhahran and on modern mixed-use office schemes. Demand is relatively stable, driven by energy, oil and gas, engineering and professional services; with no Riyadh-style development wave, growth stays gradual while Flight to Quality continues.

Price map and rents by area and corridor

Area / corridor	Grade A	Grade B	Rent level	YoY change
Khobar — waterfront and main commercial corridors	1,035 SAR	840 SAR		Highest
Dhahran — energy-linked and corporate offices	1,010 SAR	800 SAR		Stable+
Dammam — CBD and main corridors	960 SAR	760 SAR		Moderate
Jubail — industrial and administrative offices	0 SAR	680 SAR		—
Al-Ahsa — Hofuf and Mubarraz	0 SAR	620 SAR		—

Upper annual rent in SAR per sqm · Khobar is the DMA benchmark (995–1,035 Grade A, 680–840 Grade B) · Dammam and Dhahran within the DMA range (Takamol estimate) · no published Grade A average for Jubail and Al-Ahsa.

1.7×

rent gap between Grade A in Khobar (1,035) and Grade B in Al-Ahsa (620)

Reading the corridors

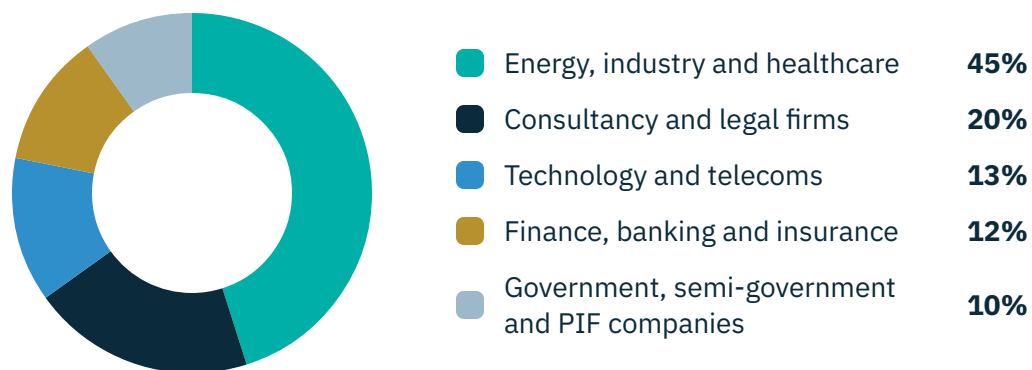
Khobar — waterfront: the highest in the province; international and consultancy HQs, Ajdan Walk and the new towers.

Dhahran: a premium for modern institutional assets linked to Aramco and the major energy companies.

Jubail and Al-Ahsa: a local administrative market built on industrial offices and professional services, with no unified institutional index.

Corporate demand segments and shifting terms of new tenants

Corporate office demand in the Eastern Province 2026



Takamol estimates based on the 2026 market survey.

Demand for newer, more efficient buildings

+9.2%

The province's office market is shifting to modern, high-quality, flexible and sustainable buildings, especially among energy, industrial and professional-services firms — pushing Grade A rents up despite vacancy.

Sustainability standards and flexible offices

LEED

Growing interest in flexible and co-working space, while sustainability standards such as LEED have become a competitive element in new schemes and a requirement for international tenants.

What does the corporate tenant look for in the Eastern Province?

Ample parking · frontage on a main or coastal corridor · flexible floorplates · energy efficiency and green certification · proximity to Dhahran and energy HQs · for industrial users, proximity to ports and industrial cities.

Regional and public transport links: Dammam–Khobar–Dhahran

Transport networks link Dammam, Khobar, Dhahran and Qatif with the airport and the industrial and commercial zones, easing access to business centres and lifting the appeal of property locations. Public transport in the Dammam metro is growing: buses carried 7.5 million passengers in 2025 over 400 km of routes and 212 stops, expanding to 276 stops with direct links to the airport and industrial zones.

994

SAR/sqm/year — average Grade A rent

+700

opportunities / +SAR 330bn — investment pipeline

5,456

licences + 34 regional HQs — international investment base

78.6%

Grade A occupancy

Impact on offices: transit-served corridors near Dhahran and King Fahd Airport attract energy and engineering HQs — the map of future office demand.



Investment opportunities, challenges and outlook

1

Transport connectivity

The province benefits from investment in transport, roads, rail and the airport, while the Dammam metro sees real public-transport growth (7.5 million passengers in 2025, expanding to 276 stops) — lifting the appeal of office locations on served corridors.

2

Land cost and development cycle

Land costs are rising in prime locations in Khobar, Dammam and Dhahran, forcing greater selectivity in site choice and development phasing, especially for modern high-specification office and commercial schemes.

3

Pre-leasing and ESG standards

Pre-leasing, sustainability, energy efficiency and building quality now drive the financeability of new assets and attract major corporates and institutional tenants, notably international firms under the Regional HQ programme.

4

Outlook: new supply pressure

As new office stock arrives (129,640 sqm in 2026), rent growth slows and competition among landlords intensifies; modern prime assets keep stronger pricing power than older buildings, which will face higher vacancy.

03

Residential & Housing Market

Residential dashboard · Future supply and major suburb projects ·
Price map by zone · Emerging products and construction technology ·
Investment outlook and yields



Operating dashboard and housing market in the Eastern Province

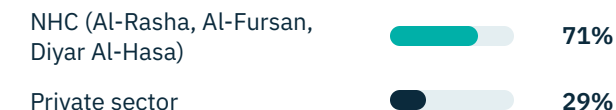
Residential / financial indicator	Current value (2026)	YoY change	Statistical analysis and data sources
Total existing housing stock	1,349,769 housing units	+1.5% to +1.8%	Whole province; the Dammam metro (Dammam, Khobar, Dhahran) holds around 745k units and Al-Ahsa around 240k, the rest in Qatif, Jubail, Hafar Al-Batin and other governorates.
Average apartment sale price per sqm	SAR 3,300 – 4,450/sqm	+0.8%	Clear spread: Khobar leads (SAR 4,200 – 4,800), then Dammam and Dhahran (SAR 3,500 – 3,900), while Al-Ahsa stays affordable (SAR 2,400 – 3,100).
Average villa sale price per sqm	SAR 4,200 – 5,600/sqm	+1.4%	Firm family demand for duplexes and townhouses in western Dammam and Khobar suburbs; stable prices in Hofuf and Mubarraz, supported by development housing and NHC suburbs.
Sales volume and demand distribution	+3,150 deals (Q1 2026)	-14.2%	Villas and duplexes dominate purchase intentions in Al-Ahsa and the suburbs (over 70%), while apartment trading rises in Khobar and Dammam's lively districts.
Regional share of mortgage finance	14%	Slight decline, stable	Third in the Kingdom after Riyadh and Makkah by new retail mortgage contracts for off-plan and completed homes.

The residential market is restructuring: investor and luxury demand drives modern apartments in Khobar and Dhahran, while Dammam and Al-Ahsa move to affordable townhouses and duplexes as NHC accelerates delivery of its major suburbs. **Takamol reading:** fewer deals (-14.2%) with rising prices signals selectivity, not weakness — buyers are waiting for the right product at the right price.

Future supply dynamics, major suburb projects and housing development

Zone / developer	Delivery 2026–2028	Planning 2028–2030	Product mix offered
Al-Wajha suburb and Al-Rasha community (Dammam – NHC)	10,800 units	+13,500 units	Integrated communities with detached villas, townhouses and affordable apartments for beneficiaries.
Al-Fursan suburb and Khobar projects (Khobar / Tahlia)	4,200 units	+6,500 units	Modern apartment towers, luxury coastal townhouses and multi-storey urban communities raising quality of life.
Diyar Al-Hasa suburb and Al-Ahsa projects (Hofuf and Mubarratz)	5,500 units	+8,000 units	Detached family villas and duplexes suited to Al-Ahsa's extended families at competitive, subsidised prices.
Private-sector projects and Dhahran Boulevard	8,500 units	Ongoing by demand	Gated compounds, individual ownership buildings and bespoke schemes for energy-sector and corporate staff.
Total supply capacity	29,000 units	+28,000 units	A balanced mix serving modern coastal living in Khobar and Dhahran and affordable family housing in Dammam and Al-Ahsa.

Share of 2026–2028 deliveries by developer



Need versus supply

Housing plans target more than 29k units by the end of 2026–2028, with NHC leading supply at over 65% to narrow the price gap and balance supply for all segments.

Takamol reading: the private opportunity lies in what NHC does not cover — luxury seafront apartments and corporate staff housing.

Price map and geographic comparison across the province's four zones

Khobar coastal corridor and waterfronts

Most sought-after and luxury zone

Corniche, Al-Shati, Al-Hamra, Al-Yarmouk,
North Khobar

Apartments (SAR/sqm)
4,500 – 6,800

Villas (SAR/sqm)
7,500 – 12,000

Dhahran corridor and central Dammam

Institutional and commercial corridor

Al-Dana, Al-Doha, Al-Qusur, Al-Faisaliyah,
West Shati

Apartments (SAR/sqm)
3,600 – 4,800

Villas (SAR/sqm)
5,500 – 7,500

West and south Dammam (suburbs)

Transaction volume and housing-support engine

Al-Fursan, Al-Shu'la, Al-Manar, Taybah, King
Fahd Suburb

Apartments (SAR/sqm)
2,600 – 3,500

Villas (SAR/sqm)
3,800 – 5,200

Al-Ahsa governorate (Hofuf and Mubarratz)

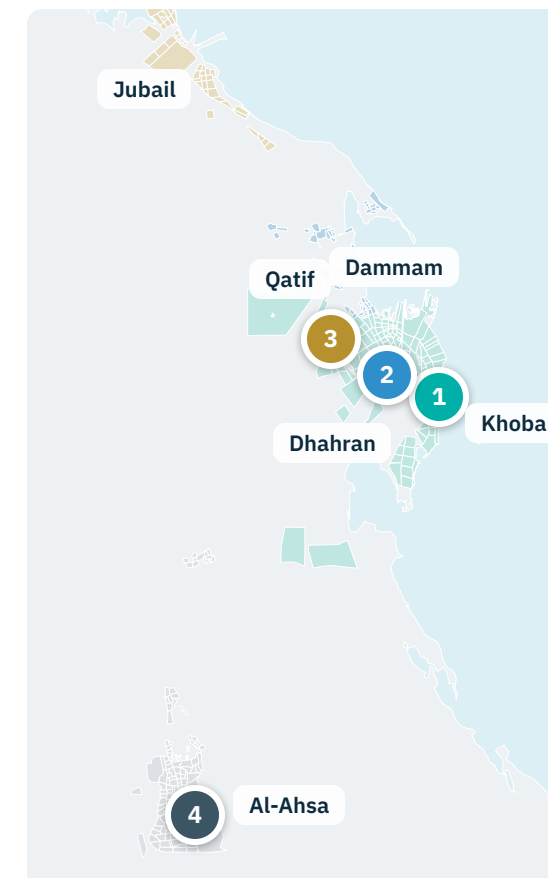
Extended families and detached villas

Al-Salmaniyah, Al-Hamra, Al-Rawdah,
Mansoubi Al-Ta'lim, Diyar Al-Hasa

Apartments (SAR/sqm)
2,200 – 3,100

Villas (SAR/sqm)
3,200 – 4,500

Spatial trend: the Khobar coastal zone and waterfronts lead investment and luxury pricing, while western Dammam and Al-Ahsa suburbs drive transaction volume and family ownership, helped by prices that fit housing-support allocations. The spread between the top and bottom zones is around 2.7× for villas and 2.2× for apartments — the widest in the Kingdom, allowing a product for every segment.



Actual district boundaries of the Dammam metro, Qatif, Jubail and Al-Ahsa · coloured by city

Emerging residential products and modern development technology

Rising housing formats in the Eastern Province

- **Gated urban communities for professionals**

Compact apartment and villa compounds with security, green space and integrated leisure facilities, aimed at talent at Aramco, Jubail Industrial and the logistics sector, earning a rental premium of 15%–20% over standalone units.

- **Waterfront and coastal living**

Luxury apartments and towers overlooking the Khobar Corniche and Marjan Island in Dammam, aimed at investors, lifestyle buyers and Gulf weekend tourism, posting the region's highest prices per sqm (SAR 4,500 – 6,800 for apartments).

- **Townhouses and detached family duplexes (suburban living)**

Flexible 240 – 300 sqm designs in western Dammam suburbs and the Hofuf and Mubarratz schemes in Al-Ahsa, meeting Saudi families' demand for a practical, affordable alternative to large villas within subsidised finance ceilings.

Modern Methods of Construction (MMC)

8–10 months instead of 18

Precast concrete and modular pods

Shortens delivery of housing and major suburb schemes to keep pace with housing-support deliveries in Al-Rasha, Al-Fursan and Diyar Al-Hasa.

-30% air-conditioning consumption

Regional quality control for the coastal climate

Humidity- and salt-resistant concrete and materials with advanced thermal insulation to the Saudi Building Code for coastal zones, cutting maintenance costs and lifting operating feasibility. Saving is a Takamol estimate.

Residential investment outlook, challenges and strategic recommendations

Strategic theme	Ground reality and analysis (Eastern Province)	Executive recommendation for developers and investors
Townhouse and duplex development	Detached homes remain preferred in Al-Ahsa and Dammam suburbs by over 65% of families, while appetite for large traditional villas declines.	Design compact duplexes (220 – 300 sqm built area) to fit young families' finance and housing-support ceilings.
Modern ownership apartments in Khobar and Dhahran	Rising demand for new apartments from professional and expatriate staff near business hubs and major companies, and for seafront apartments from investors.	Focus on 3-bedroom apartments with dedicated parking and smart community services to ensure easy letting and resale.
Corporate and company housing	Large, sustained demand for ready-to-let compounds from oil and gas, port and logistics companies in Dhahran, Jubail and Ras Tanura.	Build Build-to-Rent compounds under long-term contracts with major companies for recurring cash flow and minimal vacancy risk.
Off-plan sales (Wafi)	Buyer preference shifts to Wafi off-plan schemes in the suburbs to avoid the high cost of completed stock and secure payment protection.	Use the Wafi licence to self-finance through the escrow account, cut bank borrowing costs and lift marketing appeal.
Suburban land and infrastructure	Land cost and utility readiness vary between the Dammam metro and Al-Ahsa, with price pressure in coastal Khobar.	Enter development partnerships with raw-land owners or use fully serviced NHC land in Al-Rasha, Al-Fursan and Diyar Al-Hasa.

The province's residential scene is maturing institutionally: smart expansion through NHC suburbs addresses affordability in Dammam and Al-Ahsa, while Khobar and Dhahran strengthen their role as the quality investment hub for modern mixed-use schemes. **Takamol reading:** corporate demand from energy companies for staff housing is a competitive edge no other region has — and the closest thing to a liquid institutional asset.

Takamol reading: where does residential return concentrate? Three models

Illustrative example built on the average prices and rents in this report — not an investment offer; the detailed study is produced through Real Invest.

Model A

Modern apartment for professionals in Khobar

Near Dhahran and business hubs · 120 sqm

Estimated price per sqm **SAR 4,500**

Unit value **SAR 540,000**

Annual rent **SAR 42,000**

Gross yield

7.8%

Estimated net 6.5%–7.5% · fastest to let thanks to professional and expatriate demand

Model B

Townhouse in western Dammam suburbs

Al-Fursan / King Fahd Suburb · 280 sqm built

Estimated price per sqm **SAR 4,500**

Unit value **SAR 1,260,000**

Annual rent **SAR 75,000**

Gross yield

6.0%

Estimated net 5.2%–5.8% · most saleable to families and housing-support beneficiaries

Model C

Family villa in Al-Ahsa

Hofuf / Mubarraz · 350 sqm built

Estimated price per sqm **SAR 3,800**

Unit value **SAR 1,330,000**

Annual rent **SAR 70,000**

Gross yield

5.3%

Estimated net 4.6%–5.2% · high rental stability and extended-family demand

04

Retail & Shopping Centres

Dashboard · Delivery map of major retail schemes · Four pillars of demand · Enclosed malls versus open-air centres · Distribution by corridor · Strategic pyramid



General and operating dashboard for Eastern Province retail

1.42M sqm

retail GLA in the Greater Dammam market — H1 2026

+174K sqm

additional leasable space expected by 2027

94%

occupancy of major retail destinations — highest among the main markets

2,198

SAR/sqm/year — average regional mall rent (-1.5%)

Existing leasable space and occupancy

Leasable space in Greater Dammam reached around 1.42 million sqm in H1 2026, with supply expanding by around 174k sqm to 2027 and stock shifting to mixed-use schemes, leisure destinations and Lifestyle Retail.

Vacancy in Greater Dammam fell to only around 6% as occupancy rose to 94% — reflecting strong demand for centres with an integrated tenant and leisure mix, against greater pressure on older centres lacking entertainment and F&B.

Major retail destinations		94%
Open-air centres (Ajdan Walk)		95%

Takamol reading

Average rent in regional and super-regional malls is around SAR 2,198/sqm a year in H1 2026, down circa 1.5% YoY, with rents holding in high-quality, high-footfall destinations — price pressure hits older assets, not the market as a whole.

Recent valuations of retail assets in Dammam point to cap rates around 7%–8% depending on asset quality, location and lease length; 7.5%–8.5% is a reasonable guide for good retail assets.

Opportunity window: F&B and entertainment made up around 15% of point-of-sale transactions in 2025 — expanding their share in new schemes is the formula for high occupancy.

Delivery map of major retail schemes and destination centres 2026–2028

1 Othaim Park — Dammam Q4 2026

Dammam · around 150,000 sqm of retail, F&B, entertainment and sport · over 400 stores and restaurants · mixed-use destination with residential, hotel and office components

2 The Avenues — Khobar H2 2027

Khobar · around 168k sqm mall GLA per the latest 2026 disclosures · 17k sqm offices · Canopy hotel with around 200 rooms · circa 700 retail units

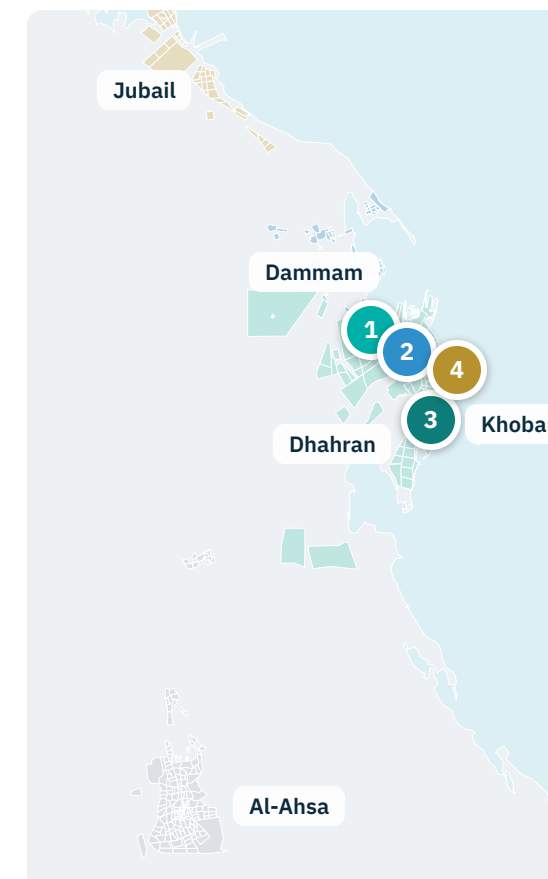
3 SDC Khobar — downtown Khobar 2028

Downtown Khobar · around 110,000 sqm GLA within circa 152,000 sqm built area · Saudi Downtown Company with Cenomi Centers · Cenomi's largest centre in the province

4 Othaim Circle — Khobar 2026–2027

Khobar · around 30,000 sqm GLA of retail, F&B and entertainment + around 25,000 sqm of high-quality offices · coastal Lifestyle destination built on dining, cafés and social space

+458k sqm of new leasable space announced to 2028 (Othaim Park + The Avenues + SDC + Othaim Circle) — an addition equal to around a third of existing stock (1.42 million sqm), concentrated in mixed-use and Lifestyle formats; the largest retail supply wave the province has seen, redistributing demand towards modernity and experience.



Project locations are approximate on the actual Dammam metro district map

The four pillars of demand and spending in Eastern Province retail

Leasable space by pillar (upper end of range)

Retail & shopping 40%

F&B 30%

Entertainment
20%

Services

- **Retail and shopping (35%–40%):** The core engine of retail destinations, backed by purchasing power and population density in Dammam, Khobar and Dhahran, with steady demand for fashion, global brands, electronics and everyday goods. Retail occupancy in the Dammam metro is around 94%, reflecting strong demand for good locations.
- **Restaurants and cafés — F&B (25%–30%):** A core pillar of new schemes, especially in Khobar, the waterfronts and open-air destinations; F&B now anchors footfall, dwell time and repeat visits rather than merely complementing shopping. F&B made up around 15% of point-of-sale transactions in 2025.
- **Entertainment and experiences (15%–20%):** One of the fastest-evolving retail components, driven by family entertainment, events and social and coastal experiences. The province is moving to Lifestyle and experience-led retail instead of traditional shopping, as Khobar's open-air schemes show.
- **Services and lifestyle (15%–20%):** Health, beauty, fitness, wellness and daily services, gaining weight as centres become destinations serving daily needs and lifestyle and generating repeat visits through the week.

15%

share of F&B and entertainment in 2025 point-of-sale transactions — the repeat-visit engine

400+

stores and restaurants at Othaim Park Dammam — a step change in tenant mix

10–15

years — anchor tenant leases in daily-needs centres

Summary

The winning tenant mix in the province starts with daily retail and dining on the waterfronts, is anchored by neighbourhood services and family entertainment, and concentrates fashion and global brands in the major destinations (Othaim Park, The Avenues, SDC).

Benchmark: traditional enclosed malls versus open-air centres

	Open-air centres (Strip & Lifestyle Malls)	Regional enclosed malls
Key examples	Ajdan Walk – Khobar, Al-Rashid Walk – Khobar and the open-air dining and café destinations on the waterfronts; Othaim Circle is the most notable upcoming Lifestyle scheme at 30k sqm GLA	Al-Rashid Mall – Khobar, Othaim Mall – Dammam, Dhahran Mall, plus Othaim centres in Al-Ahsa and Hafar Al-Batin, focused on traditional retail and global and local brands
Occupancy	95% occupancy, an example of successful open-air destinations in Khobar (Ajdan) — no unified published average for the province	94% for Greater Dammam centres in H1 2026 — reflecting strong demand for well-located centres
Average rent	~1,610 SAR/sqm/year — DMA average for community centres, with a premium for prime and coastal destinations	2,258 SAR/sqm/year for super-regional malls per the H1 2025 benchmark — the best published reference for the eastern market
Operating edge	Built on dining, cafés, entertainment, outdoor space and walkability, drawing on Khobar's character and waterfronts and the market shift to experience-led destinations	A wider tenant base, local and global brands and an air-conditioned year-round environment, with a growing push to add entertainment, dining and experiences to lift visits and dwell time

Takamol reading: major enclosed malls keep the highest headline rent (2,258) while open-air destinations achieve higher occupancy (95%) at a lower rent (1,610) — the market prices experience and coastal location above air-conditioned space, making the redirection of traditional mall space towards F&B and entertainment an investment priority.

Geographic distribution and rents by retail corridor in the Eastern Province

1

Northern corridor

Jubail – Ras Tanura – Qatif – Khafji

Industrial and residential corridor along the Dhahran–Jubail and Abu Hadriyah roads, serving large communities and an energy workforce; retail: community and regional centres, dining, family entertainment.

1,200 – 1,700

SAR/sqm · 90% occupancy

2

Eastern corridor

Khobar – Dhahran – East Dammam – waterfronts

Top corridor for quality retail and Lifestyle destinations, drawing on density, purchasing power, domestic tourism and Causeway visitors; retail: super-regional malls, global brands, upscale dining, open-air leisure.

1,800 – 2,400

SAR/sqm · 95% occupancy

3

Western corridor

West Dammam – King Fahd Airport – Riyadh Road – Nairiyah – Hafar Al-Batin

Main logistics link between the Dammam metro, central Saudi and the north, shaped by airport and highway traffic and new housing; retail: neighbourhood centres, retail parks, car showrooms, travel services, dining.

1,000 – 1,500

SAR/sqm · 88% occupancy

4

Southern corridor

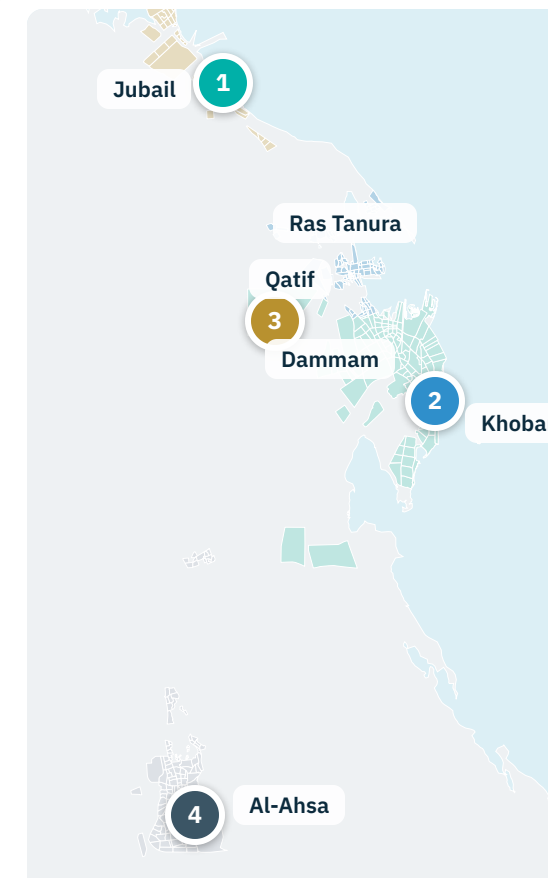
Al-Ahsa – Buqayq – Uqair – Salwa – Al-Batha

Combines Al-Ahsa's density with heritage tourism and links to the south and the Gulf borders; retail: malls and community centres, traditional souqs, family retail, dining and entertainment, growth around new housing.

900 – 1,400

SAR/sqm · 89% occupancy

Implication: the rent gap between the eastern (Khobar–Dhahran) and southern (Al-Ahsa) corridors is around 1.7×, with a 6-point occupancy gap – the market rewards waterfront, purchasing power and Gulf tourism above all else. Corridor ranges are Takamol estimates from the SAR 2,258 and 1,610/sqm benchmarks.



Retail corridor centres of gravity on the Eastern Province district map

Strategic pyramid and executive recommendations for retail

Lifestyle centres and destinations

Lifestyle Destinations: open-air mixed-use destinations combining F&B + entertainment + services + specialist retail + public space, with standout opportunities in Khobar, the waterfronts, Dammam and Dhahran plus growth centres in Jubail and Al-Ahsa — demand increasingly favours destinations that combine shopping, dining and entertainment in one place.

Community service centres

New NHC suburbs: local centres serving residential expansion and new districts in Al-Rasha, Al-Fursan and Diyar Al-Hasa, with supermarket + pharmacy + health and fitness + F&B + daily services, anchored by key tenants on long leases (10–15 years) for stable cash flow.

Repositioning existing malls

Repositioning: converting under-performing space in existing centres in Dammam, Khobar, Dhahran, Al-Ahsa and Jubail into F&B + family entertainment + health and fitness + interactive experiences, lifting dwell time, asset efficiency and tenant mix — already visible in Dammam with more cinema, entertainment and dining.

Execution matrix

Smart parking formula

Ample shaded parking and easy car access — the first factor in destination choice in the province.

Flexible leases

Base rent + turnover rent for F&B and entertainment, and short leases for pop-up stores in holiday seasons and for Gulf visitors.

E-commerce integration

Click-and-collect, returns points and micro-fulfilment for rapid delivery inside neighbourhood centres.

Pyramid order from the top: highest priority by return versus development effort.

05

Industry, Energy & Logistics

Dashboard and gauges · Supply-chain flow from field and factory to port · Demand drivers and industrial cities · SPARK, Jafurah and the ports · Investor opportunities



Gauges and KPIs: the highest-occupancy, highest-yield sector in the province

2,626

producing factories · 25.3% of the Kingdom's factories

+40M sqm

serviced industrial land in the industrial cities

+8.1M sqm

logistics space — the largest in the Kingdom

8.5–9.5%

target net yield for warehouses and logistics

Occupancy and rent by facility type

Market dynamics: demand for modern warehouses and distribution centres exceeds organised supply in serviced locations; industrial and logistics occupancy in the Dammam metro passed 90% in Q2 2026 with rising rents and a Grade A shortage. Rent ranges are Takamol estimates.

Industrial & logistics — Dammam metro		+90%
Industrial cities (MODON)		+89%
Modern Grade A warehouses, SAR/sqm		~260
Conventional warehouses, SAR/sqm		~150

Why does industry and logistics outperform in the Eastern Province?

High occupancy reflects demand driven by expansion in energy, industry, mining, trade and supply chains, and by King Abdulaziz Port (3.23 million containers in 2024), Jubail Commercial Port (480k) and the industrial ports.

The province hosts 2,626 producing factories, 25.3% of the Kingdom's total, on more than 40 million sqm of serviced industrial land, while King Salman Energy Park (SPARK), Jafurah and Ras Al-Khair open a new wave of demand for high-specification industrial facilities and distribution centres.

Supply-chain flow: from field and factory to port and market

Four linked stages define where industrial and logistics property demand concentrates in the province.

Link 1

Energy and raw materials

Jafurah · Ras Al-Khair

Aramco and unconventional gas at Jafurah, and mining industries at Ras Al-Khair — the raw base of the Kingdom's largest industrial value chain.



Link 2

Industrial cities and processing

2,626 factories

Jubail Industrial, Dammam 1st, 2nd and 3rd industrial cities, Al-Ahsa, Hafar Al-Batin and SPARK — petrochemicals, metals, building materials and energy support industries.



Link 3

Ports, airport and rail

3.23M containers

King Abdulaziz Port, Jubail Commercial Port (480k containers), King Fahd Airport (600k tonnes cargo target) and links to Riyadh and the GCC.



Link 4

Distribution centres and Grade A warehouses

8.5–9.5%

Modern warehouses and distribution centres serving industry, e-commerce and Gulf distribution on over 8.1 million sqm of logistics space, at target net yields of 8.5%–9.5%.

Decisive location: the King Abdulaziz Port – 2nd Industrial City – King Fahd Airport triangle west of Dammam, and the Dammam–Jubail corridor, where rents are highest and vacancy lowest.

Required specification: 10–12 m clear height, multiple loading docks, humidity and salt resistance, rooftop solar and manoeuvring space for heavy trucks.

Target tenant: energy contractors and oilfield services, 3PL and Gulf distribution, e-commerce, SPARK and Jubail suppliers, and metal and petrochemical industries.

Industrial and logistics demand drivers and developer opportunities

The five demand drivers

1

Energy and petrochemicals: Aramco, SABIC, Jubail Industrial and SPARK — a value chain needing high-specification warehouses, workshops and oilfield-service facilities.

2

Jafurah and unconventional gas: The Kingdom's largest non-associated gas field, south-east of Al-Ahsa, opens long-term demand for industrial facilities and staff housing.

3

Ports and Gulf exports: 3.23 million containers at King Abdulaziz Port and 480k at Jubail Commercial, with direct road links to Bahrain, the UAE, Qatar and Kuwait.

4

Mining and manufacturing: Ras Al-Khair Mining City and the industrial cities (2,626 factories) lift demand for raw-material and finished-goods warehouses.

5

Foreign investment and regional HQs: SAR 366bn FDI stock, 5,456 licences and 34 regional HQs — international firms seeking Grade A facilities that meet their standards.

Investment opportunities

Build-to-Suit Grade A warehouses

Developed to tenant specification (energy contractors, 3PL, e-commerce) on 7–10 year leases near King Abdulaziz Port and the 2nd Industrial City; the closest fit to an institutional asset exitable through industrial REITs.

Industrial compounds and support services in SPARK and Jubail

2,000–5,000 sqm units for workshops, oilfield services and energy support industries in the SPARK special economic zone (100% ownership) and around Jubail — the clearest gap, with yields up to 9.5%.

Upgrading conventional warehouses

Raising the specification of older warehouses in Dammam's industrial cities (height, floors, docks, rooftop solar) to close the rent gap between conventional and Grade A at limited capital cost.

06

Hospitality & Hotels

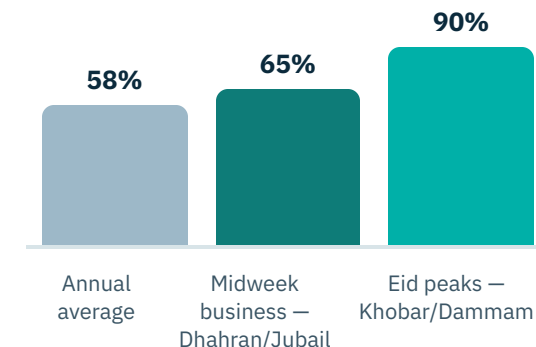
Operating and financial indicators · Demand drivers and guest behaviour · Development and investment economics · Geographic spread of investment hotspots · Seasonality · Risks and hedging · Recommendations



Operating and financial dashboard for the Eastern Province hotel market

Indicator	Estimated value 2026	YoY change	Analysis and data sources
Total existing hotel supply	around 16,234 licensed hotel keys	+4.8%	16,234 licensed rooms province-wide: Khobar around 8,400, Dammam 4,050, Al-Ahsa 1,850, Jubail and Dhahran 1,500, other governorates around 434.
Occupancy rate (annual)	58.4%	+1.2 pts	Khobar and Dammam exceed 82%–90% in Eid and leisure seasons; Dhahran, Jubail and Al-Ahsa hold 60%–65% midweek on business demand.
ADR (average daily rate)	SAR 465 / night	+4.6%	Khobar Corniche leads (SAR 620 – 950), then business hotels in Dhahran and Dammam (SAR 450 – 580) and oasis and heritage hotels in Al-Ahsa (SAR 350 – 500).
RevPAR (revenue per available room)	SAR 271	+5.8%	Growth driven by Dhahran Expo exhibitions and Gulf inflows via King Fahd Causeway and Al-Ahsa Airport.
Total operating revenue	SAR 560 – 680 / room	+4.1%	Strong contribution from waterfront restaurants, premium F&B, conference halls and corporate events.
Gross operating profit margin	38% – 42%	+2.0%	Balanced efficiency in business hotels and corporate serviced apartments serving industrial supply chains.

Occupancy: annual versus peak



Institutional analysis

A dual operating pattern: business travel and energy-sector contracts (Aramco, SABIC, Jubail supply chains) feed midweek occupancy (Sunday – Wednesday), while Gulf inflows over King Fahd Causeway and family and heritage tourism in Khobar and Al-Ahsa support weekends and holidays – stability year-round.

Hotel demand drivers, guest behaviour and spending patterns

Demand segment	Key drivers and feeder events	Daily guest spend	Average stay	Share
Corporate and energy business travel	Aramco HQ in Dhahran, Jubail industrial cities and logistics projects at King Abdulaziz Port	SAR 850 – 1,400	3.5 – 4.5 nights	45% – 48%
International exhibitions and conferences (MICE)	Dhahran Expo, the Ithra cultural centre and energy and industry forums	SAR 1,150 – 1,700	2.5 – 3.2 nights	20% – 22%
Leisure and heritage tourism	Khobar waterfronts, Ajdan Walk, Half Moon Bay beaches, Al-Ahsa heritage oasis and Al-Qarah Mountain	SAR 950 – 1,550	2.0 – 2.5 nights	22% – 24%
Extended stay and project housing	Consultants and engineers on industrial expansions in Jubail and Ras Al-Khair and major infrastructure projects	SAR 450 – 750	15 – 30 nights	8% – 10%
Business 48% MICE 22% Leisure 24% 10%				

Shifts in guest behaviour

Bleisure: more than 35% of business visitors extend trips into leisure weekends between Khobar's beaches and Al-Ahsa's oases.

Gulf heritage and coastal inflows: visitors from Bahrain, Kuwait and Qatar are a key feeder of weekend occupancy, shopping and heritage festivals.

32–40%

F&B and events contribution

Restaurant, event-hall and function revenue as a share of hotel operating income in the province — among the highest in the Kingdom.

Hotel development and investment economics: three categories compared

Financial and development metric	5-star Luxury	4-star Upscale	Serviced apartments Serviced Living
Build and fit-out cost per key (CapEx/Key)	900k – 1.35m	500 – 750k	380 – 580k
International operator fees (Base + Incentive)	2.0% revenue + 8% GOP	2.0% revenue + 6% GOP	1.5% revenue + 5% GOP
Average annual net cash flow per key	80,000 – 125,000	48,000 – 72,000	40,000 – 62,000
Rate of return (expected IRR)	12.0% – 14.5%	14.0% – 16.5%	16.0% – 18.5%
Payback period	8.0 – 10.0 years	6.8 – 8.2 years	5.5 – 6.8 years
Values in SAR · Takamol estimates based on hotel development benchmarks in the Eastern Province 2026.			

Up to 60%

of capital cost covered by Tourism Development Fund (TDF) packages for Khobar coastal resorts and Al-Ahsa heritage hotels

Sector funding drivers

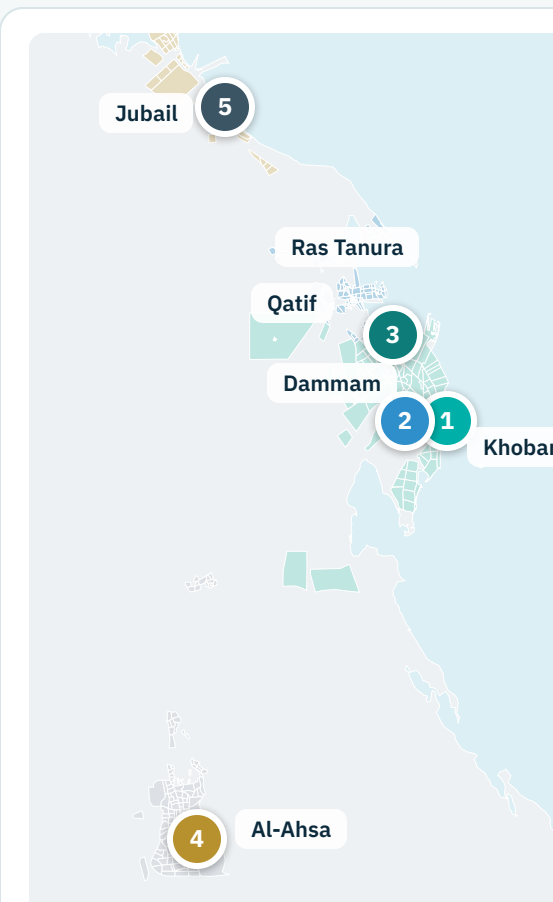
REITs: expanding acquisition of serviced-apartment and business-hotel assets in Dhahran and Khobar to cut development-cycle risk and sustain distributions — the province offers long corporate contracts that suit REITs.

Serviced apartments pay back fastest: highest IRR (up to 18.5%), shortest payback (5.5–6.8 years) and lowest operating cost — the best fit for the province given energy-staff and project demand.

Detailed geographic spread of hotel investment hotspots in the Eastern Province

- | | | |
|---|--|--|
| 1 Khobar Corniche and coastal strip
Luxury and marine leisure | Ajdan Walk, Khobar Boulevard, the Khobar waterfront and leisure marinas; target supply: coastal resorts, luxury 5-star hotels and internationally branded serviced hotel apartments. | 650 – 1,100
SAR · target ADR |
| 2 Dhahran and Expo corridor
Business and conferences (MICE) | Ithra, Dhahran Expo, King Fahd University of Petroleum and Minerals (KFUPM) and the Aramco business complex; target supply: advanced business hotels and equipped conference halls for energy delegations. | 500 – 750
SAR · target ADR |
| 3 Dammam Corniche and Marjan Island
Family and leisure | Dammam waterfront, King Fahd Park and the corniche and marine-leisure developments; target supply: 4-star family and leisure hotels and upper-midscale coastal resorts. | 400 – 600
SAR · target ADR |
| 4 Al-Ahsa oasis corridor
Heritage and eco-tourism | Al-Qarah Mountain, the historic Qaisariya Souq, Al-Asfar Lake and central Hofuf; target supply: heritage boutique hotels, rural eco-resorts and family hotel apartments. | 380 – 580
SAR · target ADR |
| 5 Jubail and King Abdulaziz Port corridor
Industrial and extended stay | Jubail industrial complexes, Ras Tanura and the port logistics zone; target supply: economy business hotels and long-stay serviced apartments for engineers and consultants. | 300 – 450
SAR · target ADR |

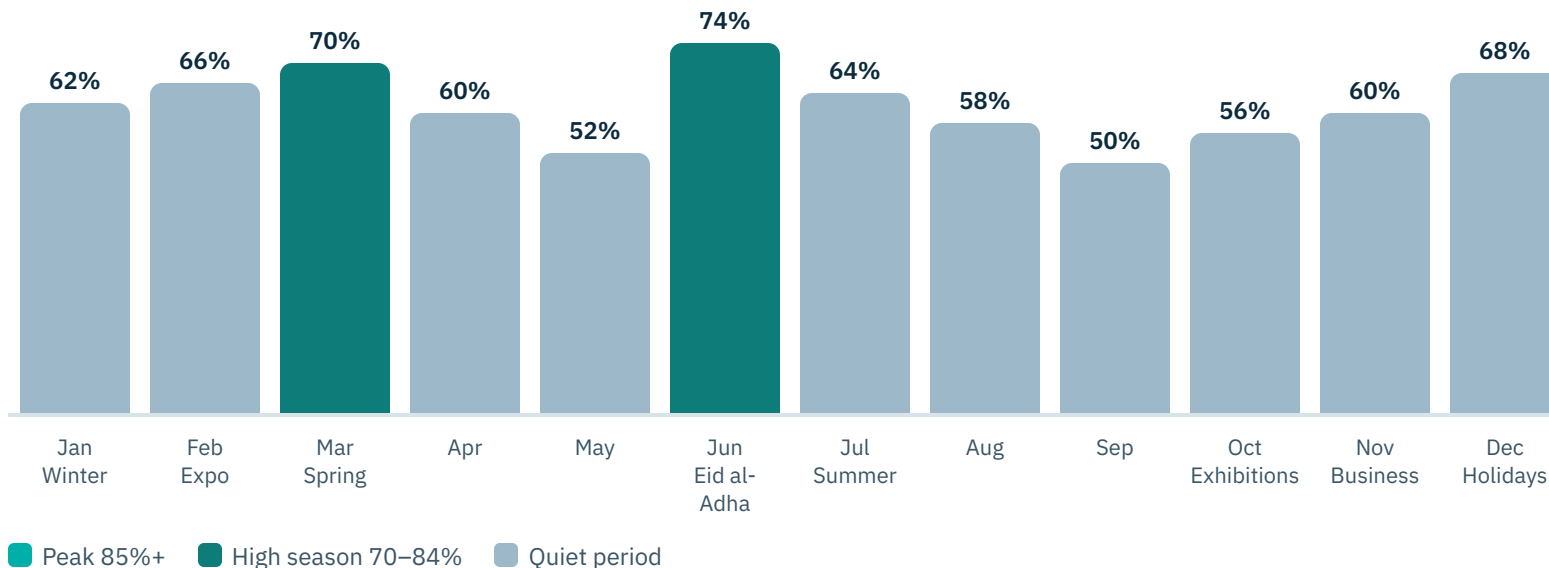
Implication: the ADR gap between Khobar Corniche (up to 1,100) and Jubail (300) is 3.7× — a clearly dual hospitality market: luxury marine leisure in Khobar versus long business stays in Jubail and Dhahran, each needing a different product and funding model.



The five hotel investment corridors on the Eastern Province district map

Seasonality: estimated hotel occupancy curve through the year

Takamol reading of demand rhythm in the province — an illustrative estimate from the annual average (58.4%) and Eid and seasonal peaks (82%–90%).



~25 pts

gap between Eid and holiday peaks in Khobar and the quiet months — milder than religious and seasonal markets thanks to the business base

How is seasonality managed?

At peak: dynamic pricing, minimum stays (2–3 nights) and Gulf family packages tied to beaches, waterfronts and festivals.

In quiet periods: energy company and contractor contracts, Dhahran Expo exhibitions, Ithra and KFUPM events and industry forums.

In design: flexible Dual-Key assets that switch between hotel and long-term serviced living for project staff.

Strategic hedging and executive mitigation in the Eastern Province

Challenge / Risk	Impact	Strategic hedge and executive mitigation
Heavy reliance on corporate and energy travel	High	Diversify guest sources by linking hotels to Dhahran Expo events, launching holiday packages combining Khobar beaches with Al-Ahsa oases, and targeting Gulf family visitors.
Midweek-to-weekend seasonal swing	Medium	Design flexible family packages for Gulf visitors (Bahrain, Kuwait, Qatar) at weekends and lock in annual corporate contracts for weekdays.
Asset erosion from humidity and the coastal climate	Medium	Apply the coastal building code with salt- and humidity-resistant materials and finishes, and activate building management systems (BMS) to cut operating costs by 15%–20%.
Competition from unclassified furnished apartments	Low	Contract with branded midscale international flags for guest trust, global distribution (GDS) connectivity and Ministry of Tourism licensing.

Final executive recommendations for hospitality investors (Dammam metro)

01

Seize the serviced hotel apartment (extended stay) opportunity

The fastest payback (under 6.5 years) and highest IRR (above 16%) by building serviced apartments for engineering and consultancy staff contracts in Dhahran, Jubail and Dammam port, under long corporate leases that cut vacancy risk to a minimum.

IRR 16.0%–18.5% · Payback 5.5–6.8 years

02

Focus on upper-midscale hotels

Fill the price gap with modern 3- and 4-star hotels on the Khobar and Dammam corridors at SAR 380 – 600, and use Al-Ahsa's heritage and rural character for country lodges and boutique hotels aimed at tourists and Gulf delegations.

Target ADR SAR 380–600 · the widest gap in the market

03

Partner with funding programmes and the franchise model

Draw on Tourism Development Fund (TDF) support covering 50%–60% of project cost, and adopt franchise agreements with global brands to cut foreign management fees and lift margins through local operation.

Up to 60% soft funding · franchise instead of management

07

Legislative & Regulatory Framework

Non-Saudi ownership law and approved zones · White Land Tax and supply release · Real estate contributions law · Brokerage and the Ejar network · Real estate registry · Credit environment and REITs



Market restructuring, consumer protection and capital attraction

100%

non-Saudi ownership zones: SPARK and Ras Al-Khair SEZs, Khobar and Dammam waterfronts, Dhahran towers

~7.5%

total transaction costs (5% RETT + brokerage commission capped at 2.5% by law)

8.5–9.5%

target net yield for foreign investors in logistics assets – the highest among permitted classes

Ownership scope in the Eastern Province

100% ownership zones cover the SPARK and Ras Al-Khair SEZs, plus approved investment zones on the Khobar and Dammam corniches, King Abdullah Civic Centre, Dhahran's office towers, Al-Ahsa's urban corridors and the King Abdulaziz Port logistics zone.

Permitted assets under the Non-Saudi Ownership Law and REGA decisions: warehouses, industrial compounds and logistics facilities (Dammam, Jubail, Al-Ahsa) · Grade A offices on key corridors · serviced compounds and income-generating hospitality.

Digital track: mandatory property verification, no-objection certificates and real-time linkage to the Real Estate Registry (RER) through the REGA portal for regulatory and security compliance.

From speculation to operating sustainability

Target group: multinational energy-services and supply-chain companies and IKTVA suppliers owning offices, warehouses and staff compounds in the Dammam metro, Jubail and Al-Ahsa; plus CMA-licensed REITs and funds, Premium Residency holders and Gulf and international investors.

Terms and limits: use for the licensed purpose, mandatory registry recording, payment of RETT (5%), and investment through REGA- and CMA-licensed funds and platforms.

Expected return: logistics and warehouses 8.5%–9.5% (highest in the Kingdom) · offices and retail 7.5%–8.5% · compounds and serviced apartments 7.0%–8.0% rental, with balanced capital growth.

White Land Tax and the dynamics of urban supply release in the Eastern Province

WLT

The three phases of the White Land Tax

Releasing hoarded land inside the urban boundary

Phase one

Undeveloped raw land of 10,000 sqm or more inside the declared boundary.

Phase two

Developed land of 10,000 sqm or more held by one owner, or an owner's combined holdings of 10,000 sqm or more within one approved plan.

Phase three

Developed land of 5,000 sqm or more held by one owner in a single city, to spur direct development inside completed districts.

Up to 10%

a year of land value — the levy by zone priority (minimum threshold 5,000 sqm)

19M sqm

of land brought into development or transferred in the Dammam metro

Developer opportunity: landowners under levy pressure in Khobar, Dammam, the airport roads and Al-Ahsa are more open to joint-venture development (JV) — lowering land cost and opening new schemes.

IMP

Financial and urban impact

From land banking to development

Owners obliged to pay the annual levy

Up to 10% a year by zone priority, with a 5,000 sqm minimum for combined holdings, breaking land hoarding between Khobar and Dammam, on the airport roads and in Al-Ahsa, and pushing owners to develop or sell faster.

100% of levies recycled

To fund infrastructure and utility connections for approved plans and support NHC housing suburbs (Al-Wajha suburb in Dammam and Diyar Al-Hasa).

Regulatory delivery data

Invoices issued on more than 95 million sqm of white land inside the urban boundaries of the Dammam metro, Al-Ahsa and Hafar Al-Batin since launch; over 19 million sqm entered actual development, field approval or levy payment in the Dammam metro, releasing large supply of residential plans and warehouses.

Comprehensive regulatory transformation map: four phases that redefined the market

01

Regulation and governance

Launch of the Real Estate Brokerage Law, the FAL licence and executive regulations protecting transactions, and the creation of the Real Estate General Authority as a unified regulator.

02

Digitisation and documentation

The Ejari platform and the unified Real Estate Registry (RER) record ownership electronically with a unique property number for every plot in the Dammam metro and Al-Ahsa, linking deals to transparent official data.

03

Financial opening and liquidity

Updated REIT regulations, the new Real Estate Contributions Law, real estate crowdfunding platforms, and the off-plan sale and lease system (Wafi) with escrow accounts.

04

Internationalisation and investment attraction

Special economic zones (SPARK and Ras Al-Khair) with 100% ownership, wider Premium Residency, an updated foreign ownership law, and ownership tied to Regional HQ and IKTVA incentives.

According to Knight Frank, the Saudi real estate sector is no longer an unregulated market governed by individual judgement; it is an institutional environment governed by REGA legislation. This shift from informality to digital governance lifted the Kingdom's JLL Real Estate Transparency Index score, creating a safe environment for foreign and local institutional investors — and in the Eastern Province specifically, home to 42% of the Kingdom's FDI stock, it feeds directly into institutional demand for logistics and office assets.

The new Real Estate Contributions Law and capital protection mechanisms

REC

Real Estate Contributions Law

Dual oversight and institutional regulation

Dual oversight

Contributions fall under direct joint supervision of REGA and the Capital Market Authority, with developers required to be classified and qualified as accredited institutional entities — ending the legacy of stalled contribution schemes in the province.

PropTech crowdfunding channels

Licensing of technology platforms so individuals and institutions can subscribe in affordable tickets, opening new liquidity for residential, commercial and logistics warehouse developers in the Eastern Province.

Governance flow

Feasibility study → REGA and CMA approval → escrow account opened → public/private subscription → independent engineering and accounting oversight → payments released by progress → liquidation and profit distribution.

Escrow system: the developer must open a restricted account at an approved bank, released only against progress reports certified by an independent engineering consultant and chartered accountant.

FAL

Brokerage Law and the Ejar network

The FAL licence and professional requirements

The FAL licence

Mandatory completion of accredited training at the Saudi Real Estate Institute and a FAL licence to practise brokerage, marketing and property management, raising market reliability in the province.

Regulating digital marketing

A ban on unlicensed property advertising and direct API links between property platforms and REGA to curb fake listings in Dammam, Khobar and Al-Ahsa schemes.

Commission governance

Brokerage commission capped at 2.5% of the deal value in sale contracts, lease commission limited to the first year only, and double or undisclosed commissions criminalised.

Legal and financial impact: the unified electronic lease contract is an enforceable instrument executable directly before enforcement courts without substantive claims, cutting rental disputes in the province's enforcement courts by over 80%.

The Real Estate Registry (RER) and conclusive title

How the system works — from survey to conclusiveness

1

The technical concept of title registration

A unique property number for every plot or unit in the Dammam metro and Al-Ahsa, tied to 3D geodetic coordinates at centimetre precision, preventing overlapping ownership and spatial duplication of historic deeds.

**2**

The pivotal role of the Etmam centre

Development finance through the Etmam programme: the developers' services centre, with the Eastern Province and Al-Ahsa municipalities, fast-tracks approval of residential, commercial and industrial plans, issues infrastructure validity certificates and injects liquidity into development and suburb projects in record time.

**3**

Absolute, unchallengeable conclusiveness

The registry deed carries absolute legal proof that cannot be challenged once objection periods lapse, ending plan-conflict and overlapping-ownership cases across the province's cities and strengthening the confidence of lenders and investment funds.

90%

loan-to-value (LTV) for citizens' first home — SAMA policy

<1.4%

non-performing loans (NPL) in real estate — a historic low

Credit environment, mortgage finance and REITs

Central bank (SAMA) policy: LTV set at 90% for citizens' first home, developer finance limits set by solvency and approved project cash flows, and NPL monitoring that has held at a historic low below 1.4%.

REITs: acquisition of a leading portfolio of logistics, residential, retail and office assets in the Eastern Province (Dammam, Khobar and Jubail), notably modern warehouses, retail centres and schools, with Sale & Leaseback as a main liquidity channel for industrial and logistics companies.

Link to mortgages and bank finance: banks and finance companies can register and release mortgages electronically and instantly through the registry platform, cutting credit risk and speeding lending to major residential and logistics developments in the province.

Financial impact matrix: White Land Tax, RETT and the first-home exemption

	White Land Tax	Real Estate Transaction Tax (RETT)	First-home exemption
Rate / mechanism	Up to 10% a year of land value (three application phases)	5% flat on the value of the property transaction	1,000,000 SAR — tax exemption ceiling for the first home
Direct objective	Fighting hoarding and pushing owners to develop	Replaces VAT (15%) on property	Supporting citizen home ownership
Impact on market activity	+95 million sqm invoiced and +19 million sqm released in the Dammam metro, raising supply inside the urban boundary	Eases liquidity and speeds asset trading between companies and individuals — 956 commercial deals worth SAR 3.52bn in 2026	Stimulates townhouse and duplex sales in Dammam and Al-Ahsa suburbs within the SAR 1 million ceiling

Advanced phases of the White Land Tax in the Dammam metro and Al-Ahsa are among the main drivers of supply release in the province; they have curbed land banking and hoarding inside the urban boundary and pushed major owners either to sell to developers or enter development partnerships. A stable RETT at 5% with first-home exemptions has kept transaction flows flexible — visible in 27.1% annual growth in commercial deal value.

08

Real Estate Transaction Volumes

A reading of Real Estate Registry deals in the Eastern Province during
2026: residential · commercial · land · industrial and agricultural ·
comparison and summary



Residential sector: 7,772 deals worth SAR 6.95bn

7,772

residential deals in 2026 — around 15.7% of the Kingdom's total

6.95bn

SAR — total residential transaction value

894k

SAR — average residential deal value

3,549

SAR/sqm — residential price per sqm in Khobar, highest in the region

District / zone	Deals	Deal value	Residential price/sqm	Average deal value
Dammam	1,174	SAR 1.4bn	SAR 2,505/sqm	≈ SAR 1.19m
Khobar	1,086	SAR 2.6bn	SAR 3,549/sqm	≈ SAR 2.39m
Hafar Al-Batin	1,027	SAR 222m	SAR 175/sqm	≈ SAR 216k
Hofuf	825	SAR 521m	SAR 1,000/sqm	≈ SAR 632k
Jubail	528	SAR 517m	SAR 975/sqm	≈ SAR 979k

Reading the activity

A broad, diverse market led by residential deals and land plots alongside commercial, industrial and logistics activity, concentrated in Dammam, Khobar and Dhahran and extending to Jubail, Al-Ahsa and the other governorates, despite a relative slowdown in some residential segments in 2026.

What it means

Diverse drivers reduce reliance on one sector and strengthen the case for quality locations and products. Khobar alone takes 37% of residential value with 14% of deals — clearly a luxury market — against Hafar Al-Batin as an affordable volume market (SAR 216k per deal).

Commercial sector: fewer deals, higher value, faster growth

956

commercial deals recorded in the Real Estate Registry in 2026

3.52bn

SAR — total value of commercial deals

3.68m

SAR — average commercial deal value (4.1× the residential average)

+27.1%

annual growth in commercial transaction value

Residential versus commercial — relative comparison



What it means

High-value commercial activity: the sector accounts for around 10% of deals but around 36% of real estate transaction value in the province. The average commercial deal (SAR 3.68m) and 27.1% annual growth reflect the asset mix — development land on the corridors, warehouses and showrooms, and retail centres in the Dammam metro — and a clear institutional shift towards income-generating assets.

Vacant land and the industrial sector: from the Real Estate Registry

1,340–
2,410

SAR/sqm — vacant land price
per sqm in the province's main
cities

19M sqm

of land brought into
development or transferred in
the Dammam metro through
the White Land Tax

2,626

producing factories · 25.3% of
the Kingdom's factories

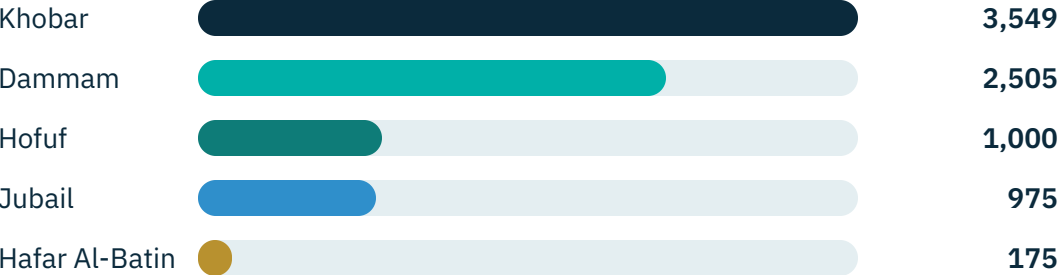
+40M sqm

served industrial land

+89%

industrial city occupancy

Residential price per sqm by city (SAR/sqm) — 2026 deals



An active, multi-use land market led by residential, commercial, industrial and logistics land, with wide variation in plot size from small and medium residential plots to large investment land for plans and compounds. Values rise in the urban locations of Khobar and Dammam, against greater opportunity for large sites and development in Jubail, Al-Ahsa and the expansion corridors.

What it means

The province's land market is uneven: values rise in Khobar and Dammam on density, demand and location, while other cities and growth corridors offer larger sites and lower entry cost — widening residential, commercial, industrial and logistics development opportunities. The 20× gap between residential prices per sqm in Khobar (3,549) and Hafar Al-Batin (175) is the widest in the Kingdom.

Agricultural and industrial sectors: closing the transactions chapter

150

agricultural deals in 2026

175.4M

SAR — value of agricultural deals

+23.1M

sqm — agricultural area traded

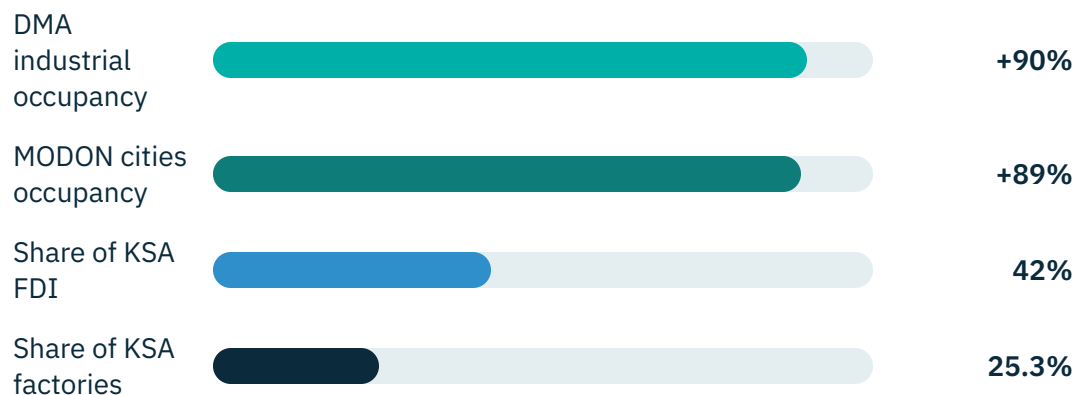
≈1.17M

SAR — average agricultural deal

25.3%

province's share of the Kingdom's factories (2,626)

Industrial and logistics base — selected indicators



Set-up competitiveness: lower prices per sqm than Riyadh and Jeddah cut project set-up costs · Institutional development: large areas across all sectors show activity centres on plans and projects, not individual deals · Balanced liquidity: frequent commercial and residential deals, heavy high-value deals in land and industrial.

Closing the transactions chapter

Logistics and industrial hub: the vast industrial and vacant-land areas traded reflect the province's logistics strength and capacity to absorb major investment. Integrating energy, industry and ports gives it a clear edge, creating opportunities in warehouses and logistics, corporate housing, serviced land, and retail and community centres.

09

Takamol View: Opportunity Summary and How We Help

Ten ranked investment opportunities · Investor matrix by capital and horizon · Takamol Advanced and its services · Real Forsa and Real Invest · Sources and methodology

Ten investment opportunities in the Eastern Province 2026 – ranked by strength

1

Grade A warehouses near King Abdulaziz Port and the 2nd Industrial City

+90% occupancy · 8.5%–9.5% net yield · Build-to-Suit for energy contractors and 3PL

Logistics

2

Serviced hotel apartments for energy staff in Dhahran and Jubail

IRR 16%–18.5% · payback 5.5–6.8 years · long corporate contracts

Hospitality

3

Build-to-Rent corporate housing for oil, gas and port companies

7%–8% yield · large, sustained demand · minimal vacancy risk

Residential

4

Industrial compounds and support services in SPARK SEZ and Jubail

100% ownership · 2,000–5,000 sqm units · yields up to 9.5%

Industrial

5

Modern apartments for sale and rent in Khobar and Dhahran

6.5%–7.5% yield · SAR 4,200–4,800/sqm · professional and expatriate demand

Residential

6

Grade A offices on the Khobar waterfront and in Dhahran

SAR 994/sqm (+9.2%) · Flight to Quality · window before 129,640 sqm lands

Offices

7

Open-air Lifestyle destinations on the waterfronts

95% occupancy · F&B 15% of POS · 7.5%–8.5% yield

Retail

8

220–300 sqm townhouses and duplexes in Dammam and Al-Ahsa suburbs

>65% of family preferences · first-home exemption · Wafi and MMC

Residential

9

Community service centres in Al-Rasha, Al-Fursan and Diyar Al-Hasa

10–15 year leases · 29,000 units coming around them

Retail

10

JV development partnerships with landowners under White Land Tax pressure

19 million sqm entered development · levy up to 10% · lower land cost

Land

Investor matrix: which opportunity suits whom?

Individual investor

Capital SAR 0.5 – 3 million

Horizon: 5–8 years · Goal: recurring income + capital growth

Modern 2–3 bedroom apartment in Khobar or Dhahran for professionals

Townhouse in western Dammam suburbs for housing-support beneficiaries

Off-plan (Wafi) unit in an NHC suburb

Target yield: 5.5% – 7.5%

Mid-size investor / family office

Capital SAR 3 – 30 million

Horizon: 5–10 years · Goal: liquid income-generating asset

Build-to-Rent residential building for energy-company staff

Open-air strip mall in a dense suburb

2,000–5,000 sqm warehouse near the 2nd Industrial City

Target yield: 7.0% – 9.0%

Real estate developer

Projects SAR 30 – 300 million

Horizon: 2–4 year development cycle · Goal: development margin + exit

220–300 sqm townhouses with MMC and off-plan sales

Serviced hotel apartments under franchise with TDF funding

JV with a landowner between Khobar and Dammam

Target margin: 22% – 28% · IRR 14%–18.5%

Institutional investor / funds

+SAR 300 million

Horizon: 7–15 years · Goal: core income assets on long leases

Grade A warehouse portfolio let to energy companies on 7–10 year leases

Sale & Leaseback of industrial and logistics corporate assets

Serviced compounds for Aramco and Jubail via a closed fund

Target yield: 7.5% – 9.5% · REIT-listable

Takamol Advanced: your advisory partner in real estate decisions

Takamol Advanced Company (TAC) is a Saudi–Emirati partnership specialised in real estate and investment advisory, combining local market expertise with digital analytics to deliver investment decisions built on data rather than impression. We serve developers, private investors, family offices and funds across the Kingdom and the GCC.

Market research and reports

Periodic reports at city, governorate and district level, opportunity maps and KPIs for every sector — like this report.

Feasibility studies and valuation

Financial modelling, highest-and-best-use analysis, asset valuation, and deal and partnership structuring.

Investment advisory

Portfolio building, opportunity selection and due diligence for local, Gulf and international investors.

Development advisory

Optimal product, use mix, pricing, and launch and marketing strategy for developers.

Foreign investor service

Guidance through the Non-Saudi Ownership Law, Premium Residency and the special economic zones, from eligibility checks to closing.

An integrated digital ecosystem

Real Forsa to discover opportunities and Real Invest to analyse them — our own tools that turn this report into a decision.

Why Takamol? Analysis at corridor and district level, not just the city · figures tied to operable feasibility models · a team

Combining Saudi and Emirati expertise · 100% transparency on sources and methodology.



From report to decision: Real Forsa & Real Invest

Two Takamol Advanced platforms that complete this report — one presents the opportunities, the other analyses them.



Real Forsa

Proptech opportunities marketplace · realforssa.sa

The proptech marketplace for real estate opportunities within the Takamol ecosystem: it curates selected opportunities across the Kingdom — development land, income-producing assets, development partnerships and off-plan products — and presents them to Saudi, GCC and international investors with unified, transparent data.

- The Eastern Province opportunities in this report (Grade A warehouses, staff housing, serviced apartments, waterfront destinations...) are listed as browsable, trackable opportunities.
- Filter by city, sector, capital and target yield.
- Direct contact with the Takamol team for due diligence and deal structuring.

realforssa.sa



Real Invest

Investment analysis and advisory tool

Takamol's automated analysis and feasibility tool: enter the land or asset data (location, area, use, cost) and receive an instant preliminary feasibility study — cash flows, IRR, payback period and sensitivity analysis — built on the same market indicators presented in this report.

IRR

Internal rate of return

NPV

Net present value

Payback

Payback period

Calculate your project's feasibility in the Eastern Province with Real Invest

Sources, methodology and disclaimer

Official sources

Real Estate Registry and Ministry of Justice — transaction data (2026)

GASTAT — population, income, inflation

Real Estate General Authority (REGA) — laws and regulations

Saudi Central Bank — mortgage finance

ZATCA — RETT and land levies

Eastern Province and Al-Ahsa municipalities — investment and building permits

Royal Commission for Jubail and Yanbu · MODON · Saudi Ports Authority

Ministry of Tourism and Tourism Development Fund · Ministry of Investment (RHQ licences)

Market & benchmark sources

National Housing Company (NHC) and developer announcements (Othaim / The Avenues / Cenomi)

Invest Saudi — listed investment opportunities

JLL reports — offices, retail and the Transparency Index

Knight Frank reports — Premium Residency and governance

CBRE reports — prime office occupancy

Takamol field surveys of rents and occupancy 2026

Official open geographic district data (maps)

Takamol reports for Riyadh, Jeddah and Al-Qassim 2026 (for comparison)

Methodological notes

Values in SAR · annual rates against the same period of 2025 · figures preceded by "around" or "circa" are estimates · percentage splits, monthly curves, yield models and corridor and warehouse rent ranges are illustrative, built on the report's averages · Dammam and Dhahran office rents within the DMA range (estimate) · project locations on maps are approximate.

Disclaimer

This report is prepared for general informational and analytical purposes and does not constitute investment advice, an offer or a solicitation to invest in any asset. Takamol Advanced has relied on sources it believes to be reliable without guaranteeing their accuracy or completeness, and figures may change as official data is updated. Investors should conduct independent due diligence and obtain specialist advice before any decision. © Takamol Advanced 2026 — all rights reserved.



Thank you for your trust

This report is part of Takamol Advanced's series on the Saudi real estate market — Riyadh · Jeddah · Al-Qassim · Eastern Province · Makkah · Madinah · Dammam. For a detailed edition on a specific sector or corridor, or a feasibility study for your project in the Eastern Province, get in touch.

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